

# Income Disparities

by Sophia



## WHAT'S COVERED

In this lesson, you will learn about income disparities. Specifically, this lesson will cover:

## 1. The Gender Pay Gap

Even after all possible qualifiers have been considered, women earn less than men. Managers sometimes offer multiple excuses to justify pay inequities between women and men, such as, “Women take time off for having babies” or “Women have less experience,” but these alone do not explain away the differences. The data shows that a woman with the same education, experience, and skills, doing the same job as a man, is still likely to earn less, at all levels from bottom to top. According to a study by the Institute for Women’s Policy Research, even women in top positions such as CEO, vice president, and general counsel often earn only about 80% of what men with the same job titles earn. Data from the EEOC over the five years from 2011 through 2015 for salaries of senior-level officials and managers (defined by the EEOC as those who set broad policy and are responsible for overseeing execution of those policies) shows women in these roles earned an average of about \$600,000 per year, compared with their male counterparts, who earned more than \$800,000 per year. That \$200,000 difference amounts to a wage gap of about 35% each year.

The same is true in mid-level jobs as well. In a long-term study of compensation in the energy industry, researchers looked at the job of a land professional—who negotiates with property owners to lease land on which the oil companies then drill wells—and found evidence of women consistently getting paid less than men for doing the same job. Median salaries were compared for male and female land professionals with similar experience (one to five years) and educational background (bachelor’s degree), and men earned \$7000 more per year than their female counterparts.

Doesn’t the law require men and women to be paid the same? The answer is yes and no. Compensation discrimination has been illegal for sixty years under a U.S. law called the Equal Pay Act, passed in 1963. But the problem persists. Women earned about 60% of what men earned in 1960, and that value had risen to only 80% by 2016. Given these historic rates, women are not projected to reach pay equity until at least 2059, with projections based on recent trends predicting dates as late as 2119. This is aggregate data; thus, it includes women and men with the same job, or similar jobs, or jobs considered to fall in the same general category, but the data does not compare the salary of a secretary to that of a CEO, which would be an unrealistic comparison.

Equal pay under the law means equal pay for the “same” job, but not for the “equivalent” job. Those companies wishing to avoid strict compliance with the law may use several devices to justify unequal pay, including using slightly different job titles, slightly different lists of job duties, and other techniques that lead to

different pay for different employees doing essentially the same job.

➔ **EXAMPLE** In academia (college-level education), there are a number of ranked positions with job titles like “lecturing instructor,” “associate professor,” “assistant professor,” and “full professor.” People occupying these different positions can all have the same degrees and experience, and the same workload, but the job titles mean a difference in pay, which leads to pay inequality. While men are more likely to be full professors (who have the best pay and job security), women are more likely to be consigned to the lower tiers of “associate,” or “assistant,” professor. So, while a university may be required by law to pay people with the same position title the same amount, it leads to pay inequality on par with corporate America (Flaherty, 2020).

Women have taken employers to court for decades, only to find their lawsuits unsuccessful because proving individual compensation discrimination is very difficult, especially given that multiple factors can come into play in compensation decisions. Sometimes class action lawsuits have been more successful, but even then, plaintiffs often lose.

Can anything be done to achieve equal pay? One step would be to pass a new law strengthening the rules on equal pay, but two attempts to pass the Paycheck Fairness Act (2019) and the Fair Pay Act (2021) either failed or never came to a vote. These or similar bills, if ever enacted into law, would significantly reduce wage discrimination against those who work in similar job categories by establishing equal pay for “equivalent” work, rather than the current law which uses the term “same” job. The idea of pay equivalency is closely related to **comparable worth**, a concept that has been put into action on a limited basis over the years, but never on a large scale. Comparable worth holds that workers should be paid on the basis of the worth of their job to the organization. Equivalent work and comparable worth can be important next steps in the path to equal pay, but they are challenging to implement because they require rethinking the entire basis for pay decisions.

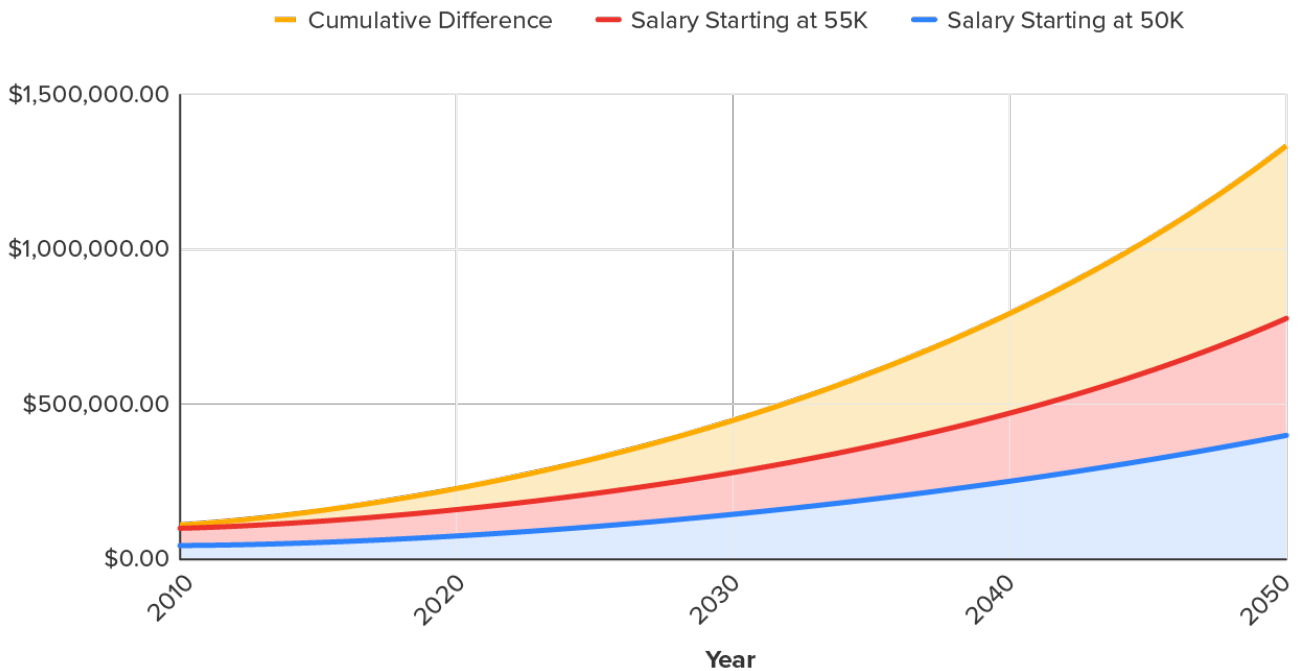


#### BRAINSTORM

What can a place of business do to guarantee pay equity, especially in an industry where exact job titles and duties are too variable to simply pay everyone the same “for the same work”? What can people in the organization do to bring equity to their organization?

If a woman’s starting salary for the first job of her career is less than that of a man, the initial difference, even if small, tends to cause a systemic, career-long problem in terms of pay equity. Researchers at Temple University and George Mason University found that if a new hire gets \$5000 more than another worker hired at the same time, the difference is significantly magnified over time. Assuming an average annual pay increase of 5%, an employee starting with a \$55,000 salary will earn at least \$600,000 more over a forty-year career than an employee who starts an equivalent job with a \$50,000 salary. This significantly affects many personal decisions, including retirement, because all other things being equal, a lower-paid woman will have to work three years longer than a man to earn the same amount of money over the course of her career.

## Starting Salary and Cumulative Difference Over Time



This graph shows how a modest pay difference between a man and woman upon hiring grows over the span of their careers. On average, women must work two years longer before retirement to make up the lost income due to pay inequity.

Part of the reason that initial pay disparity is heightened over a career is that when a worker changes jobs, the new employer usually asks what the employee was making in his or her last job and uses that as a baseline for pay in the new job. To combat the problem of history-based pay, which often hurts women, eight states (and numerous municipalities) in the United States now ban employers from asking job applicants to name their last salary. Although this restriction will not solve the entire problem, it could have a positive effect if it spreads nationally. In a survey by the executive search firm Korn Ferry, 46 of 100 companies said they usually comply with the legal requirements in force in the strictest of the locations in which they operate, meaning workers in states without this law might not be asked about their salary history during new job negotiations either.



### TERM TO KNOW

#### Comparable Worth

The value a person brings to the organization.

## 2. Pay Equity as a Corollary of Income Equality

The issue of income inequality is of particular significance as it relates to women. According to the World Economic Forum (WEF), gender inequality is strongly associated with income inequality. The WEF studied the association between the two phenomena in 140 countries over the past twenty years and discovered they are linked virtually everywhere, not only in developing nations. The issue of pay discrimination is addressed elsewhere in our course; however, the issue merits mention here as a part of the bigger picture of equality in the workplace. Adding to the disparity in income between men and women is the reality that many women are

single mothers with dependent children and sometimes grandchildren. Hence, any reduction in their earning power has direct implications for their dependents, too, constituting injustice to multiple generations.

According to multiple studies, including those by the American Association of University Women and the Pew Research Center, on average, women are paid approximately 80% of what men are paid. Laws that attempt to address this issue have not eradicated the problem. A recent trend is to take legislative action at the state rather than the federal level. A New Jersey law, for example, was named the Diane B. Allen Equal Pay Act to honor a retired state senator who experienced pay discrimination. It will be the strongest such law in the country, allowing victims of discrimination to seek redress for up to six years of underpayment, and monetary damages for a prevailing plaintiff will be tripled.

The most significant part of the law, however, is a seemingly small change in wording that will have a big impact. Rather than requiring “equal pay for equal work,” as does the federal law and most state laws aimed at the gender wage gap, the Diane B. Allen Equal Pay Act will require “equal pay for substantially similar work.” This means that if a New Jersey woman has a different title than her male colleague but performs the same kinds of tasks and has the same level of responsibility, she must be paid the same. The new law recognizes that slight differences in job titles are sometimes used to justify pay differences but in reality, are often arbitrary.

Minnesota passed a similar law in 2022, which mandates that women be paid the same for comparable jobs and analyzes the work performed on the basis of how much knowledge, problem solving, and responsibility is required, and on working conditions rather than merely on job titles. Additional protections in the law cover pregnancy and parental leave, which also assure women (or any parent) of job security.

Ethical business managers will see this trend as an effort to address an ethical issue that has existed for well over a century and will follow the lead of states such as New Jersey and Minnesota. A company can help solve this problem by changing the way it uses job titles and creating a compensation system built on the ideas behind these two laws, which focus on job characteristics and not titles.

According to an article in *Harvard Business Review*, any organization wanting to attain equity must begin with a thorough audit of job descriptions and compensation. Such an audit would reveal inequities, which could then be addressed through remediation, generally in the form of salary increases for workers found to be lagging behind. Such increases could be gradual with a two- or three-year goal of equity. For companies voluntarily addressing equity, this is advantageous both ethically and economically; lawsuits can be expensive and award compensation increases as well as back pay.

Where companies do not address equity, women may keep shared spreadsheets to track compensation packages. This is well within their rights. While some workplaces may discourage the disclosure of salaries—largely to keep these inequities secret—it is against the law to forbid it. Even an informal audit can prove pay inequity exists and hold companies accountable (Barnard-Bahn, 2020). It can also help women in the same industry see which companies are paying better. This activity is sometimes called “**Google doc activism**.”



#### TERM TO KNOW

##### **Google Doc Activism**

Named for the use of shared documents, the independent audits done by women and people of color to track pay inequity in a company or industry.



#### SUMMARY

In this lesson, you learned about the ethical implications and contributing factors associated with **the gender pay gap**, a pervasive challenge that persists to this day. It is important to identify a problem, and once identified, look for ethical solutions. **Pay equity is related to income inequality** and disparities we observe today. Inequalities contribute to imbalance, which in turn contributes to challenges that disproportionately impact the most vulnerable in our society, including women and children. We cannot consider the ethics of compensation without considering the impact of structural and systemic differences, and once recognized, we are morally compelled to resolve those inequities.

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## REFERENCES

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